Practice workbook · External costs and external benefits

Spillover costs and benefits falling on third parties; standard examples (pollution, congestion, litter; education, healthcare, vaccination); the ways business activity damages the environment (air, water, noise and visual pollution); and judging whether an activity or public spending is worthwhile on externality grounds.

24 question parts: 1 worked-example retry and 23 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-20

1. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

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3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

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1. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce tables and/or chairs. On your PPF, draw what would happen if the production of chairs decreased and tables increased.

(3)

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1. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

In 2019, the National Health Service (NHS) in England began a campaign to check the records of all children who had been given the measles, mumps and rubella (MMR) vaccination. Those children missing the MMR vaccination were then invited to make an appointment to receive the vaccination.

(Source adapted from: https://www.gov.uk/government/publications/mmr-catch-up-for-10-to-11-year-old-children-information-for-gps)

(d) With reference to the data above and your knowledge of economics, analyse why vaccinations may be an external benefit.

(6)

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P 6 6 3 2 8 A 0 1 5 2 4

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Turn over

1. Question 3 · part d · 6 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

Each year, in the UK there are an increasing number of shops closing down in town centres. At least 10% of all shops have been empty for the last five years. At the same time online sales are growing and reached more than 20% of total retail sales in 2019.

The continuing development of technology has made it easier for consumers to buy online. However, this is at a cost to some shop employees whose jobs have been replaced by machines that send out online orders from warehouses.

(e) With reference to the data above and your knowledge of economics, assess whether the availability of substitutes, such as machines, will reduce the demand for labour.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 2 · part e · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
- ☒ **B** Reduce interest rates
- ☒ **C** Maximise profits
- ☒ **D** Reduce economies of scale

Cyprus has a mixed economy.

(b) Which **one** of the following is most likely to be provided by the public sector in Cyprus?

(1)

- ☒ **A** Cars
- ☒ **B** Roads
- ☒ **C** Driving lessons
- ☒ **D** Petrol

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2. Question 2 · part e · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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France is a developed country.

(c) On the blank pie chart below, draw and label the approximate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developed country such as France.

(3)

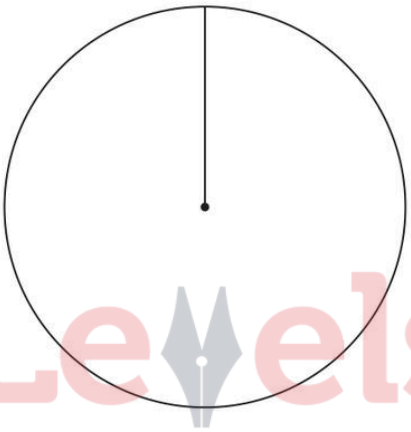


Figure 2

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(d) Define the term free rider.

(1)

(e) Describe **one** reason why congestion is an example of an external cost.

(2)

2. Question 2 · part e · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Who should have the flu injection?

Flu is an unpredictable virus that can cause mild or unpleasant illness in most people. It can cause severe illness and even death among vulnerable groups, including older people, pregnant women and people with other health problems. These groups may, therefore, receive a free vaccination in the UK, to ensure they are protected against the virus. Although most people receive their vaccination from a public sector doctor, the UK Government has to pay private sector pharmacies to also provide this service. The cost to the UK Government of funding these vaccinations is over £100m per year.

(Source: adapted from https://www.nhs.uk/conditions/vaccinations/who-should-have-flu-vaccine/)

(f) Explain **one** possible reason why the UK Government pays private sector pharmacies to provide the flu vaccination.

(3)

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2. Question 2 · part e · 2 marks · Working and answer

Working and answer

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(3)

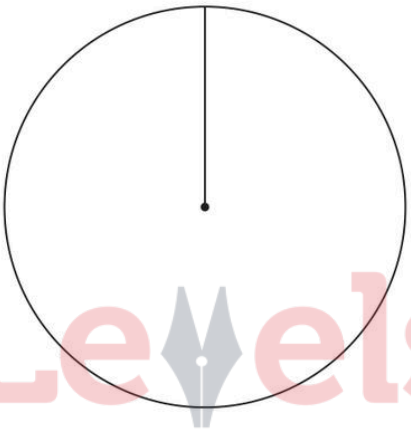


Figure 2

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(d) Define the term free rider.

(1)

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(2)

3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(3)

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) With reference to the data in **'Who should have the flu injection?'** and your knowledge of economics, assess whether the cost to the UK Government of funding the flu vaccination can be justified.

(9)

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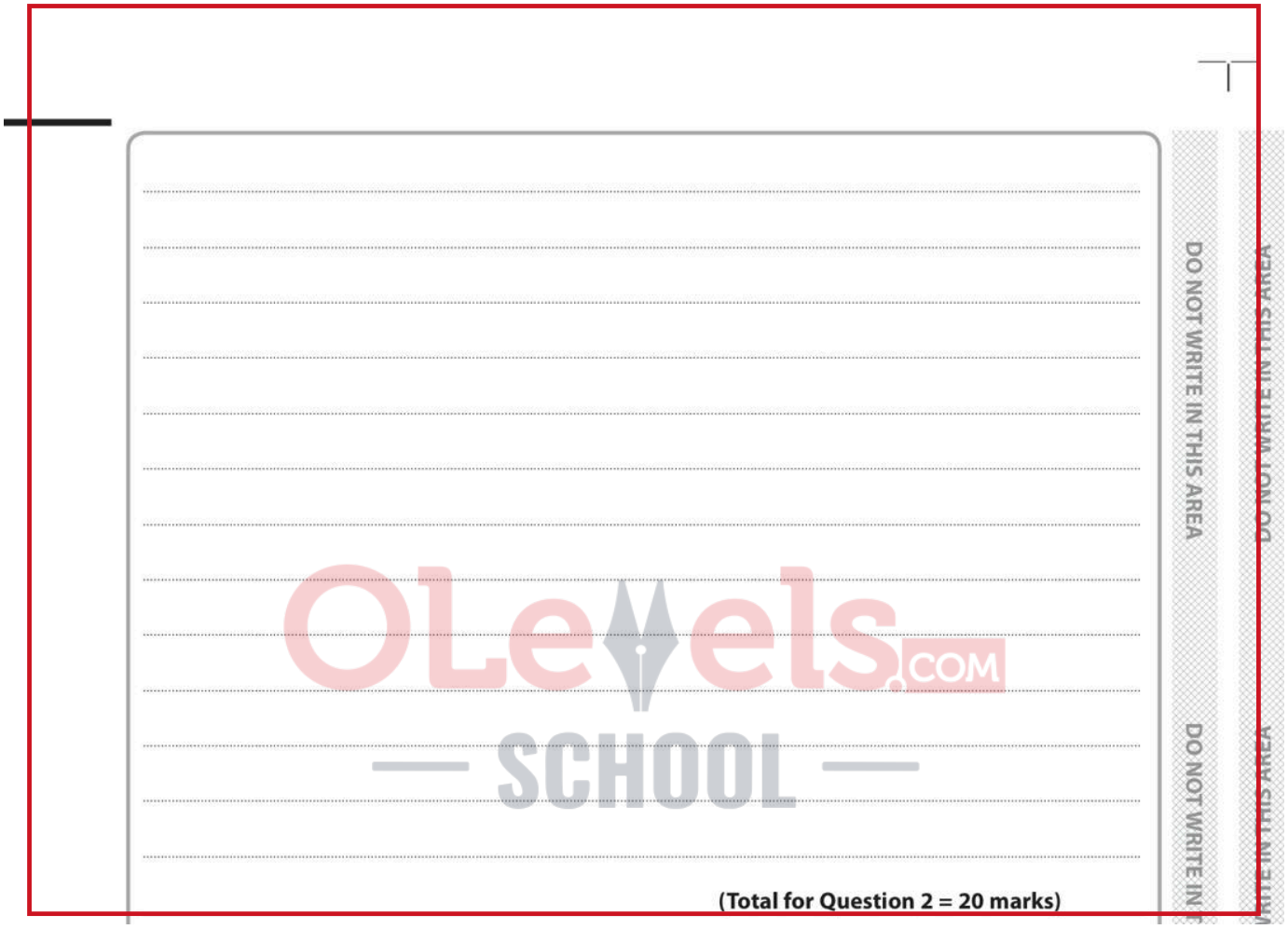
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3. Question 2 · part g · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.



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3. Question 2 · part g · 9 marks · Working and answer

Working and answer

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4. Question 2 · part c · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part c only.

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2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

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P 6 0 7 4 8 A 0 7 2 4

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Turn over ▶

4. Question 2 · part c · 1 mark · Working and answer

Working and answer

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

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An economy can produce consumer and capital goods. This economy originally produced at PPC1 with all resources fully employed but due to positive economic growth, it can now produce at PPC2 with all resources fully employed.

(c) Using the axes below, draw two production possibility curves (PPC) to show an economy moving from PPC1 to PPC2. Label both production possibility curves and the axes.

(3)

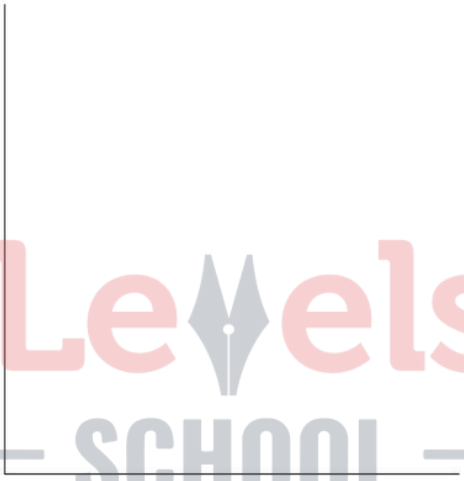


Figure 2

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

Technology has been used to perform some of the jobs previously done for many years by humans, for example, robots in factories and self-checkout machines. This substitution of capital for labour is likely to increase as technology advances. At most call centres, humans currently respond to customer queries but Google has developed an automated assistant. Many telecom firms have switched to using calls made by these automated assistants.

(d) With reference to the data above and your knowledge of economics, analyse how the demand for labour might be affected by the use of machines.

(6)

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part e only.

There are many reasons for firework displays. The 'bang', 'pop' and 'whizz' sounds, along with wide-ranging displays of colourful sparks are used to celebrate religious festivals and historical occasions, as well as private and public events. Some events charge an entry fee but people are still able to see and hear the fireworks without entering the venues. Former military personnel have complained this can bring back negative memories relating to war experiences. It can also disturb animals that are frightened by the loud noises.

(e) With reference to the data above and your knowledge of economics, assess whether fireworks have more negative than positive externalities.

(9)

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P 5 9 9 6 3 A 0 1 6 2 4

5. Question 3 · part e · 9 marks

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Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

5. Question 3 · part e · 9 marks · Working and answer

Working and answer

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6. Question 1 · part e · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Car production is most likely to take place in which sector of the economy?

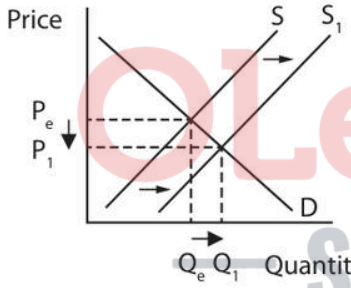
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

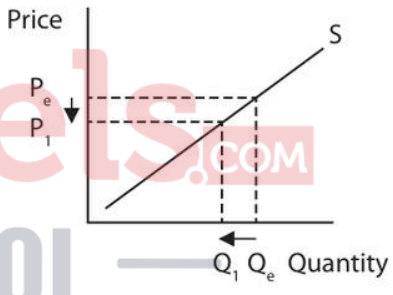
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

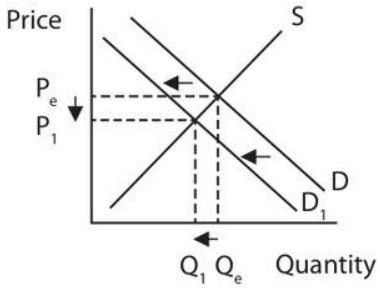
☒ **A**



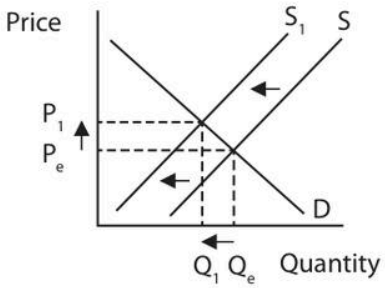
☒ **B**



☒ **C**



☒ **D**



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P 6 2 6 4 1 R A 0 2 2 8

6. Question 1 · part e · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

(e) Define the term external benefit.

(1)

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6. Question 1 · part e · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

(2)

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6. Question 1 · part e · 1 mark · Working and answer

Working and answer

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7. Question 1 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

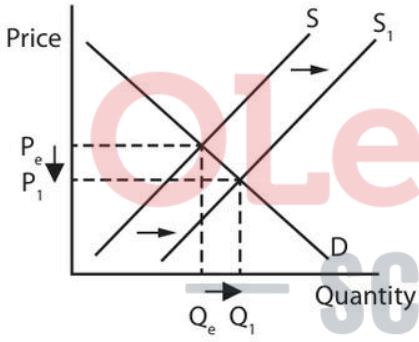
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

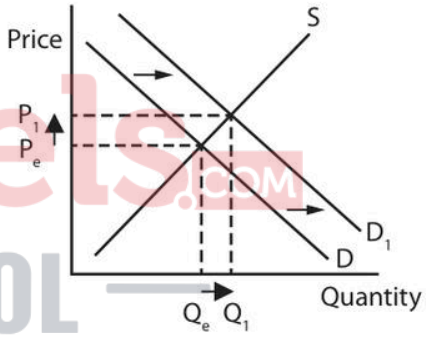
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

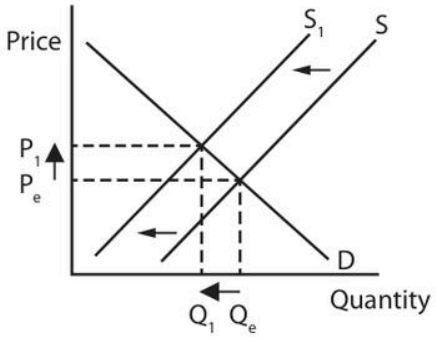
☒ **A**



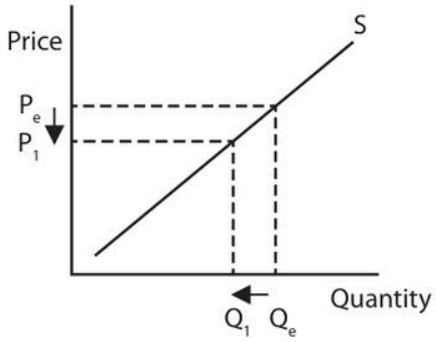
☒ **B**



☒ **C**



☒ **D**



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7. Question 1 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

7. Question 1 · part c · 2 marks · Working and answer

Working and answer

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8. Question 1 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

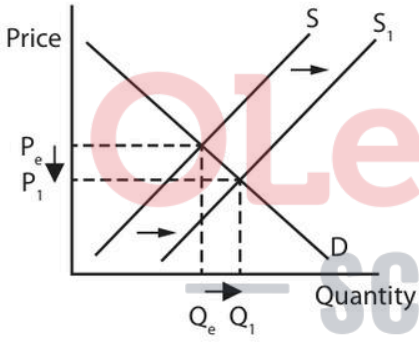
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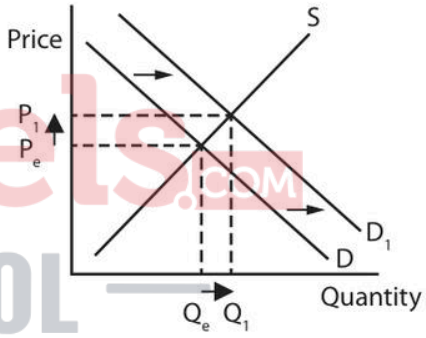
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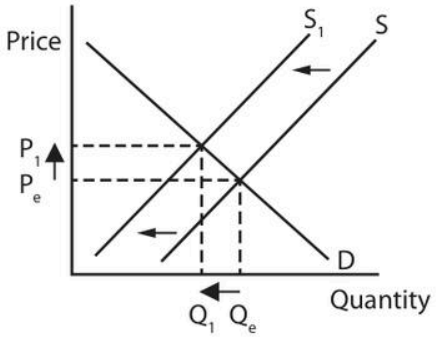
☒ **A**



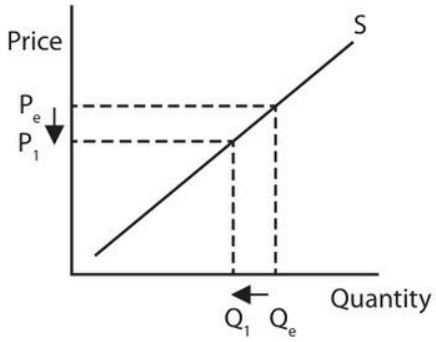
☒ **B**



☒ **C**



☒ **D**



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8. Question 1 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

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8. Question 1 · part d · 1 mark · Working and answer

Working and answer

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9. Question 3 · part b · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following factors may cause a shift of the demand curve?

(1)

- ☒ **A** Costs of production
- ☒ **B** Demographic changes
- ☒ **C** Subsidies
- ☒ **D** Changes in price

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Healthcare
- ☒ **B** Litter
- ☒ **C** Rent
- ☒ **D** Weather

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti.

(3)

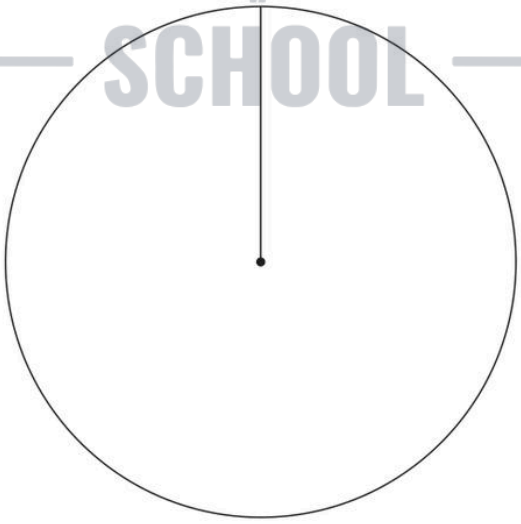


Figure 3

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9. Question 3 · part b · 1 mark · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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(1)

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- ☒ **D** Changes in price

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Healthcare
- ☒ **B** Litter
- ☒ **C** Rent
- ☒ **D** Weather

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti.

(3)

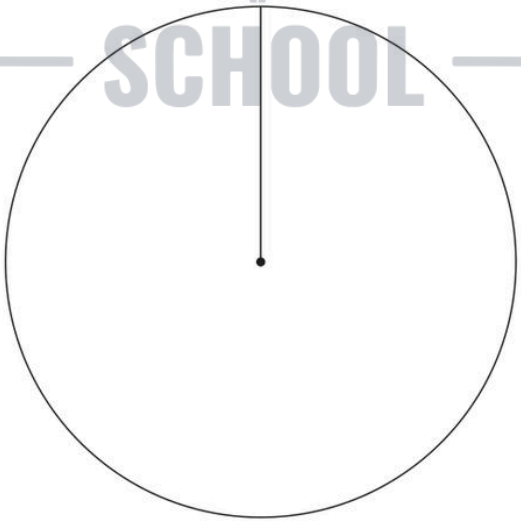


Figure 3

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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

In the capital of Laos, Vientiane, residents and tourists can now use the LOCA app to hire a taxi. Figure 4 shows the excess supply of LOCA drivers working in an area of the city when the price of a journey is 10 000 Kip.

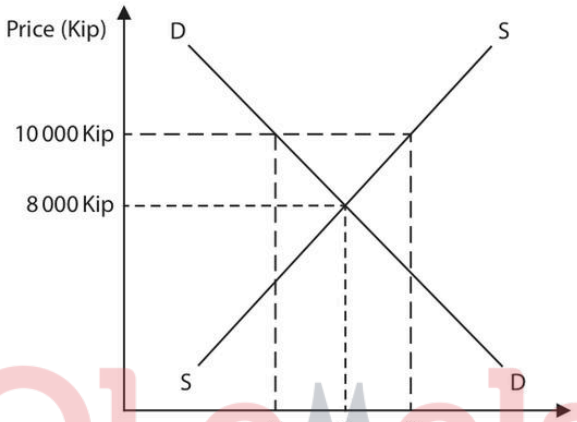


Figure 4

(d) With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply.

(6)

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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

Public universities in Norway do not charge students any tuition fees. Education is funded by the government. In recent years Norway has spent more on education than any other country as a percentage of GDP. Norway also has one of the lowest rates of unemployment in the world.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education.

(9)

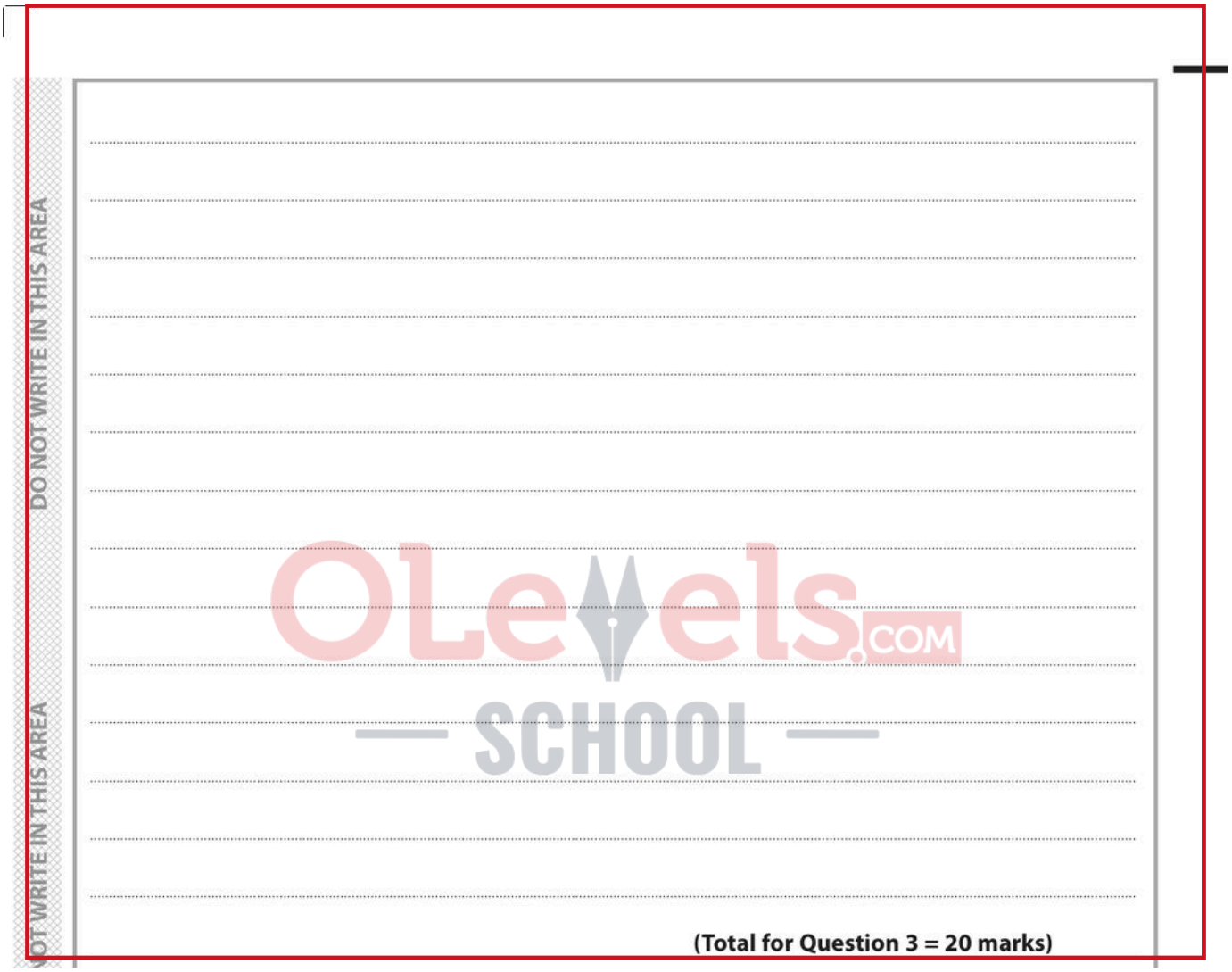
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10. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.



10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

3 (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

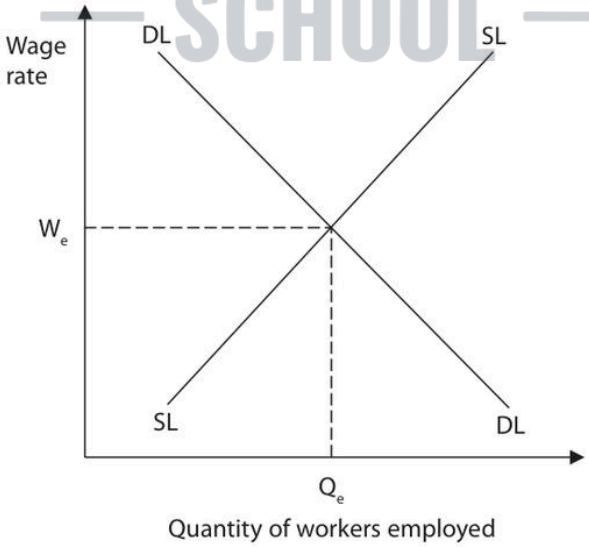


Figure 3

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11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

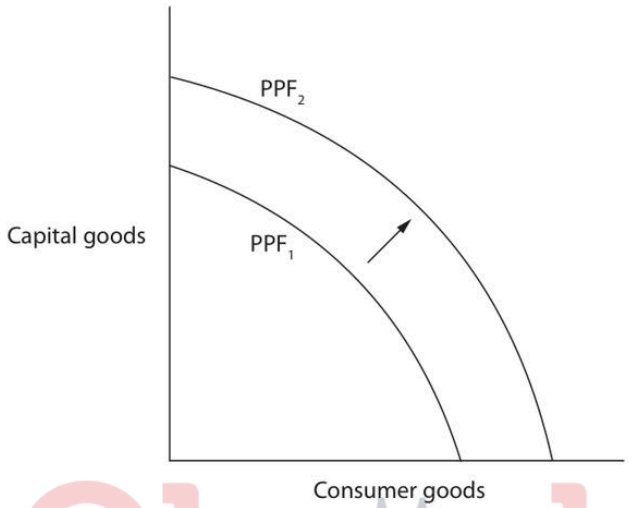


Figure 4

Figure 4 shows an outward shift in the production possibility frontier (PPF) for Zambia in 2019. Agriculture, construction and copper production are some of the main areas that contribute to the economy of Zambia.

(d) With reference to the data above and your knowledge of economics, analyse why the economy has moved from PPF_1 to PPF_2.

(6)

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P 6 6 3 2 7 A 0 1 4 2 4

11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

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11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

It is estimated that 23 billion bricks are made each year in Bangladesh. The industry employs over one million people. Demand for bricks is rising due to growth in the construction industry. The production of bricks contributes to the severe air pollution in the country by emitting smoke and dust clouds. Children, the elderly, pregnant women and those with a respiratory or heart condition may be especially affected by the poor air quality.

(Source adapted from: https://undark.org/2018/09/05/air-pollution-dhaka/)

(e) With reference to the data above and your knowledge of economics, assess the extent to which the costs of producing bricks in Bangladesh are external costs.

(9)

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16

P 6 6 3 2 7 A 0 1 6 2 4

11. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.



11. Question 3 · part e · 9 marks · Working and answer

Working and answer

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12. Question 3 · part d · 6 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following is the definition of a merger?

(1)

- ☒ **A** The joining together of two firms
- ☒ **B** The transfer of ownership from the government
- ☒ **C** The takeover of one firm by another firm
- ☒ **D** The creation of a competitive market

(b) Which **one** of the following is a reason why a government would introduce a minimum wage?

(1)

- ☒ **A** To increase the benefits paid by a government
- ☒ **B** To reduce the motivation of workers
- ☒ **C** To close the income gap between the rich and the poor
- ☒ **D** To ensure producers increase their profits

(c) On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan.

(3)

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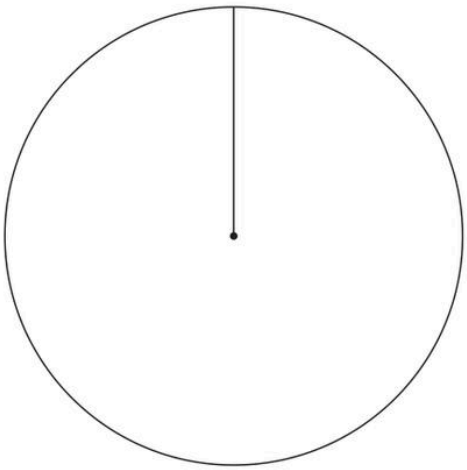


Figure 5

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12. Question 3 · part d · 6 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

There are plans to build a $296m residential tower in the business district of Sydney, Australia, but some local people do not want the tower to be built.

(Source adapted from: https://architectureau.com/articles/tallest-residential-tower-in-sydney-approved/)

(d) With reference to the data above and your knowledge of economics, analyse the possible external costs that may occur during the building of the residential tower.

(6)

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12. Question 3 · part d · 6 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

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12. Question 3 · part d · 6 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

Dubai in the UAE has a population of more than 2.5 million people. Immigrant workers make up over 80% of this population. Many of the immigrants provide construction, cleaning or care services.

(Source adapted from: https://www.futurelearn.com/info/courses/migration-theories/0/steps/35094)

(e) With reference to the data above and your knowledge of economics, assess the benefits to Dubai of employing such a high proportion of migrant labour.

(9)

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12. Question 3 · part d · 6 marks · Working and answer

Working and answer

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13. Question 3 · part b · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following could be described as an economic need?

(1)

- ☒ **A** Haircut
- ☒ **B** Holiday
- ☒ **C** Shelter
- ☒ **D** Smartphone

(b) Which **one** of the following is an example of an external benefit?

(1)

- ☒ **A** Education
- ☒ **B** Air pollution
- ☒ **C** Overcrowding
- ☒ **D** Resource depletion

(c) Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)



Figure 3

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13. Question 3 · part b · 1 mark · Working and answer

Working and answer

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14. Question 2 · part e · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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14. Question 2 · part e · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

An airport is a key part of most large urban areas. They are usually found on the edge of cities and are often surrounded by houses.

(e) Explain **one** way an airport can cause damage to the environment.

(3)

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14. Question 2 · part e · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

China announced that in 2021 it would increase its import quota for crude oil by 20%.

(f) Using the diagram below, draw the effect of the introduction of the new quota.
Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

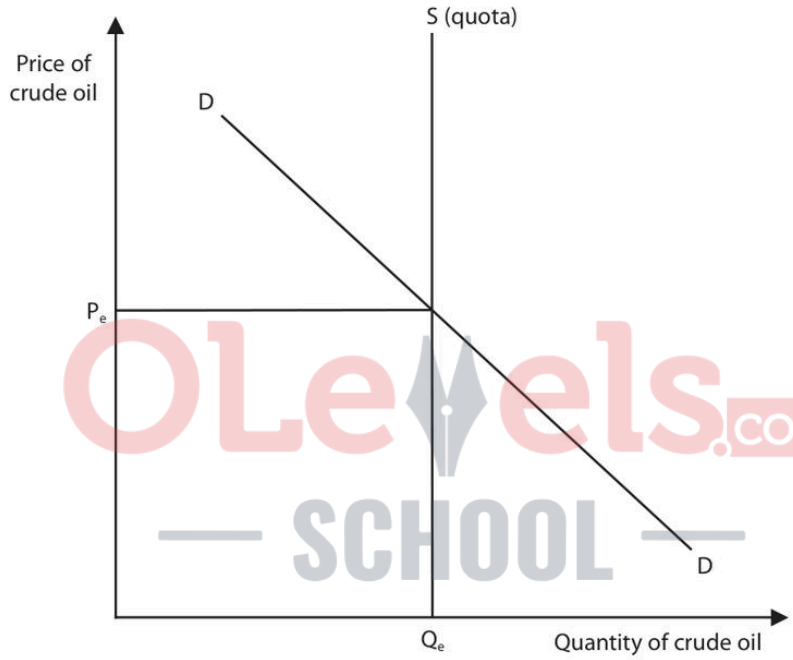


Figure 2

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P 7 1 5 5 8 A 0 1 0 2 4

14. Question 2 · part e · 3 marks · Working and answer

Working and answer

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15. Question 3 · part d · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

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3 (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

(1)

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

(1)

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

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15. Question 3 · part d · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

In December 2020, the UK unemployment rate was 5.1%. This was an increase of 1.3% from September 2020.

(c) Explain **one** likely impact on UK tax revenue from rising unemployment rates.

(3)

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15. Question 3 · part d · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

Lithium is used in batteries to power various electrical and electronic goods including mobile phones and electric cars. Lithium has to be mined from the ground and large deposits are found in countries such as Chile. Lithium mining uses a lot of water – approximately 2 million litres per tonne of lithium.

(d) Analyse how business activity can damage the environment in a country such as Chile.

(6)

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15. Question 3 · part d · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

The number of unemployed people in Spain reached 4 million in February 2021. This was a rise of 44,436 people from the previous month and was the highest level since May 2016. This was the fifth monthly increase in unemployment. The sectors most affected included tourism and commerce. The only sector that made a recovery was construction.

(e) With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain.

(9)

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15. Question 3 · part d · 6 marks · Working and answer

Working and answer

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16. Question 2 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

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(c) State **one** example of an external benefit. **(1)**

.....

.....

.....

16. Question 2 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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P 7 4 0 5 7 A 0 8 2 4

16. Question 2 · part c · 1 mark · Working and answer

Working and answer

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17. Question 1 · part e · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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P 7 4 0 5 6 R A 0 2 2 4

17. Question 1 · part e · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part e only.

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(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

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(e) Define the term congestion.

(1)

17. Question 1 · part e · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part e only.

Figure 2 shows some of the monthly production costs for a firm which makes furniture.

Production costs	€
Rent	30 000
Raw materials	16 500
Insurance	7 000
Labour (payment depends on output)	95 000

Figure 2

(f) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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17. Question 1 · part e · 1 mark · Working and answer

Working and answer

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18. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

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3 (a) Which **one** of the following is a reason why a firm may decide to stay small?

(1)

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

(1)

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

(3)

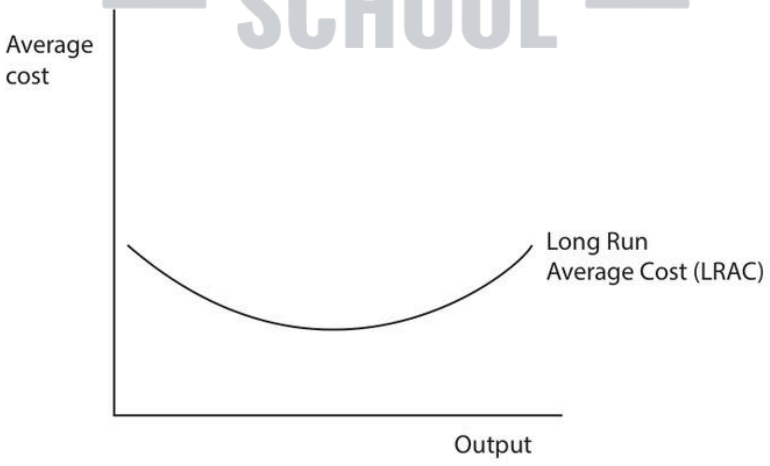


Figure 4

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18. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

The education system in Japan is one of the best in the world. Primary and secondary education is free, with a typical school day from 08:00 to 15:00 or 16:00, depending on the age of the students.

(Source: adapted from https://www.internations.org/japan-expats/guide/education)

(d) With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit.

(6)

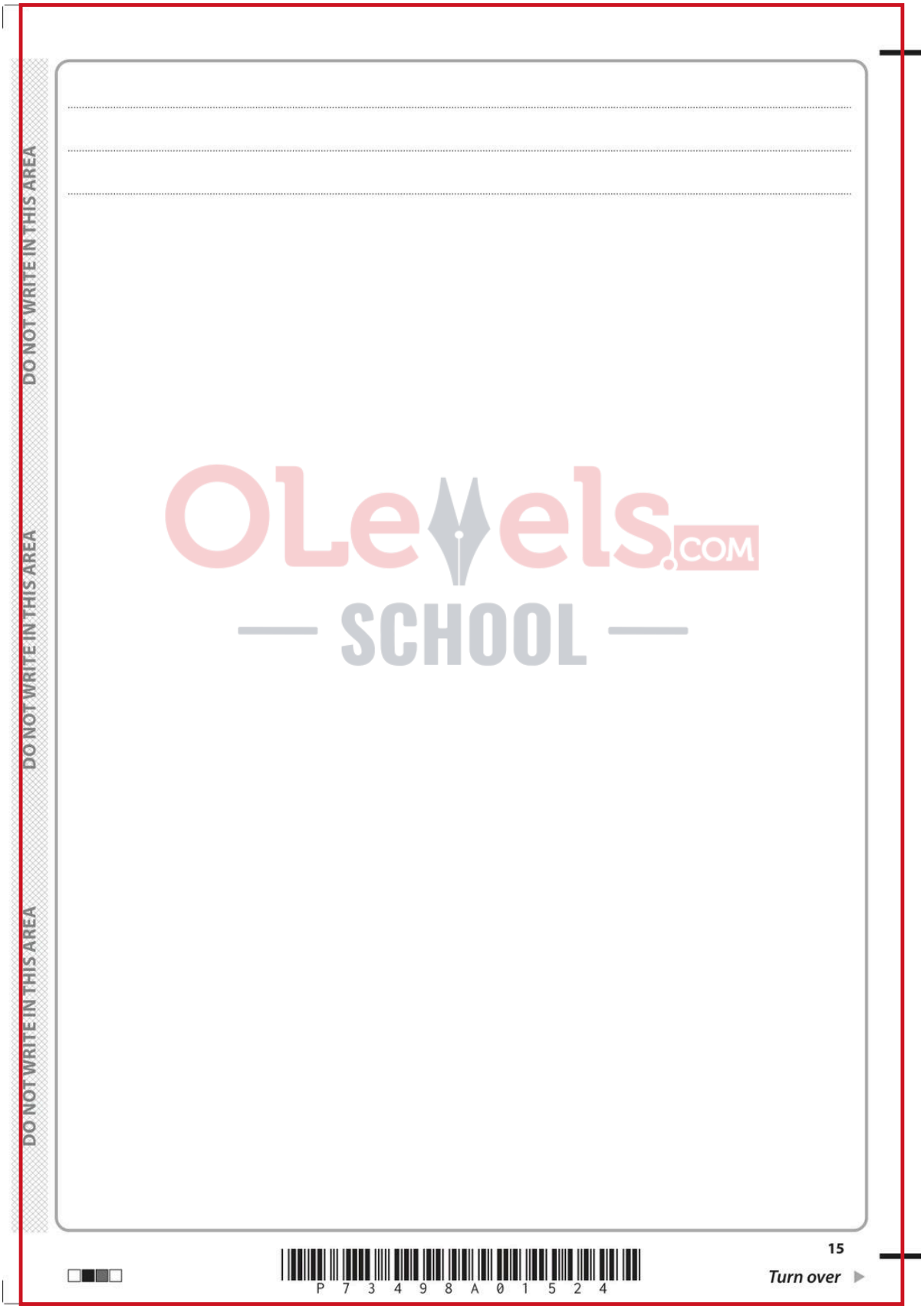
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18. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.



18. Question 3 · part d · 6 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

Simona owns a hairdressing business in Romania. She charges low prices and makes no charge when customers arrive late for appointments or make very late cancellations. She thinks customer care is more important than making a profit.

However, some customers have complained at having to wait weeks before an appointment is available. As a result, Simona has lost customers. This has caused financial problems in repaying a loan to the bank.

In response, Simona is considering increasing her prices and charging a fee to those who arrive late or cancel without suitable notice.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes.

(9)

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P 7 3 4 9 8 A 0 1 6 2 4

18. Question 3 · part d · 6 marks · Working and answer

Working and answer

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19. Question 1 · part d · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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19. Question 1 · part d · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

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(d) Describe **one** way business activity can damage the environment.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business tax	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

19. Question 1 · part d · 2 marks · Working and answer

Working and answer

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20. Question 1 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a definition of opportunity cost?

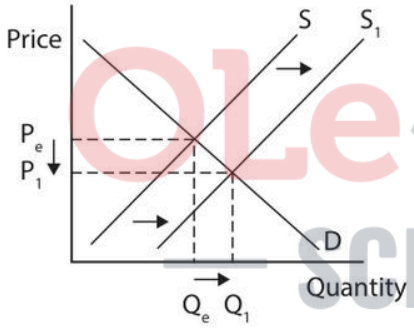
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

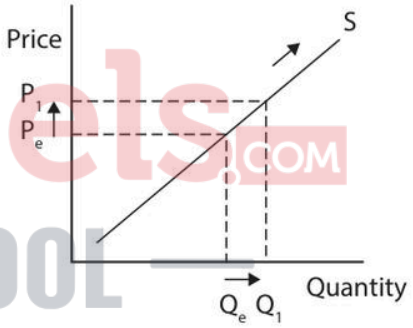
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

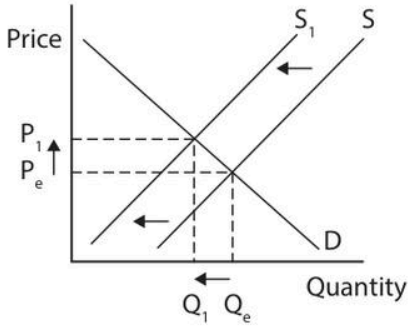
☒ **A**



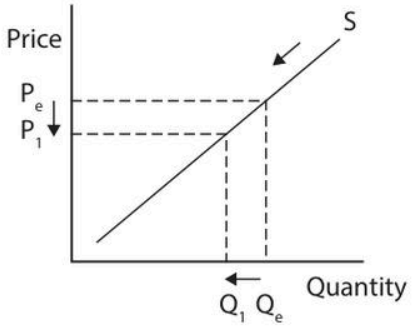
☒ **B**



☒ **C**



☒ **D**



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P 7 5 9 5 4 A 0 2 2 4

20. Question 1 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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(c) What is meant by the term external benefit?

(2)

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(d) State **one** example of an external cost.

(1)

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(e) Define the term takeover.

(1)

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20. Question 1 · part c · 2 marks · Working and answer

Working and answer

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21. Question 1 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a definition of opportunity cost?

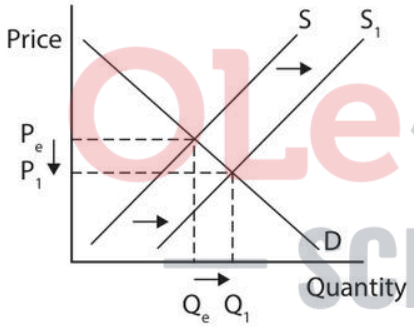
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

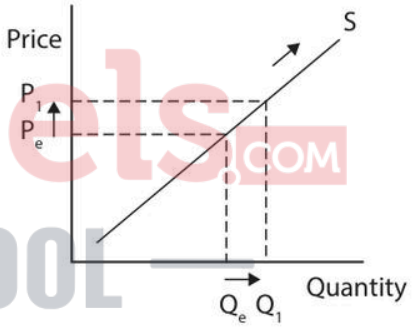
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

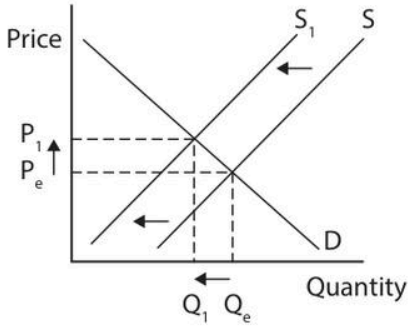
☒ **A**



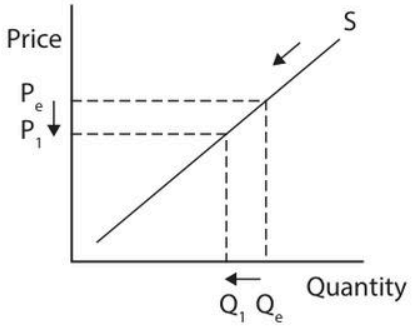
☒ **B**



☒ **C**



☒ **D**



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21. Question 1 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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21. Question 1 · part d · 1 mark · Working and answer

Working and answer

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22. Question 3 · part b · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following could cause a shift in the demand curve for a product?

(1)

- ☒ **A** Costs of production
- ☒ **B** Quantity of the product available
- ☒ **C** Price of substitute goods
- ☒ **D** Subsidies

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Litter
- ☒ **B** Rent
- ☒ **C** Indirect tax
- ☒ **D** Vaccinations

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal.

(3)

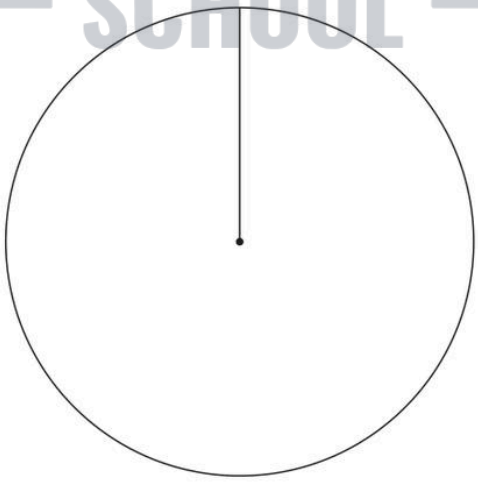


Figure 4

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22. Question 3 · part b · 1 mark · Working and answer

Working and answer

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following could cause a shift in the demand curve for a product?

(1)

- ☒ **A** Costs of production
- ☒ **B** Quantity of the product available
- ☒ **C** Price of substitute goods
- ☒ **D** Subsidies

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Litter
- ☒ **B** Rent
- ☒ **C** Indirect tax
- ☒ **D** Vaccinations

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal.

(3)

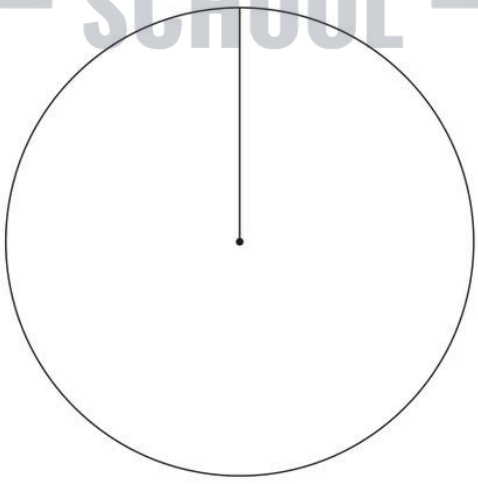


Figure 4

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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Figure 5 shows the excess demand for tickets at an event in Stockholm, Sweden, when the price of a ticket is 1 500 krona.

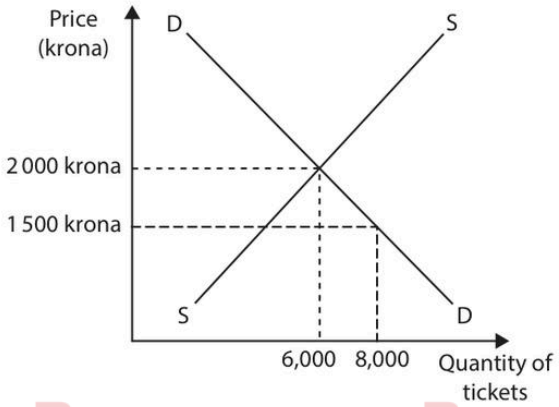


Figure 5

(d) With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand.

(6)

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

In 2021, the Indonesian Government spent 9.4% of its budget on healthcare. By 2027, healthcare spending will more than double on a per capita basis from $114 to $269.

This increase is due to an improvement in Indonesia's economic growth. The growth is partly because more people in other countries want to buy goods and services made in Indonesia.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending.

(9)

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23. Question 3 · part e · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

23. Question 3 · part e · 9 marks · Working and answer

Working and answer

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24. Question 4 · part b · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part b only.

4 Figure 5 shows the number of single-use plastic bags sold by the main retailers in the UK in 2021 and 2023.

Year	Number sold
2021	197 million
2023	133 million

Figure 5

(a) Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working.

(2)

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24. Question 4 · part b · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part b only.

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From food to clothes, supply chains have harmful impacts on the environment. In 2023, the supply of consumer goods and services was the largest single contributor to UK emissions at 26% of the annual total; the UK energy sector was second highest at 17%.

(b) With reference to the data above and your knowledge of economics, analyse how business activity can damage the environment in a country such as the UK.

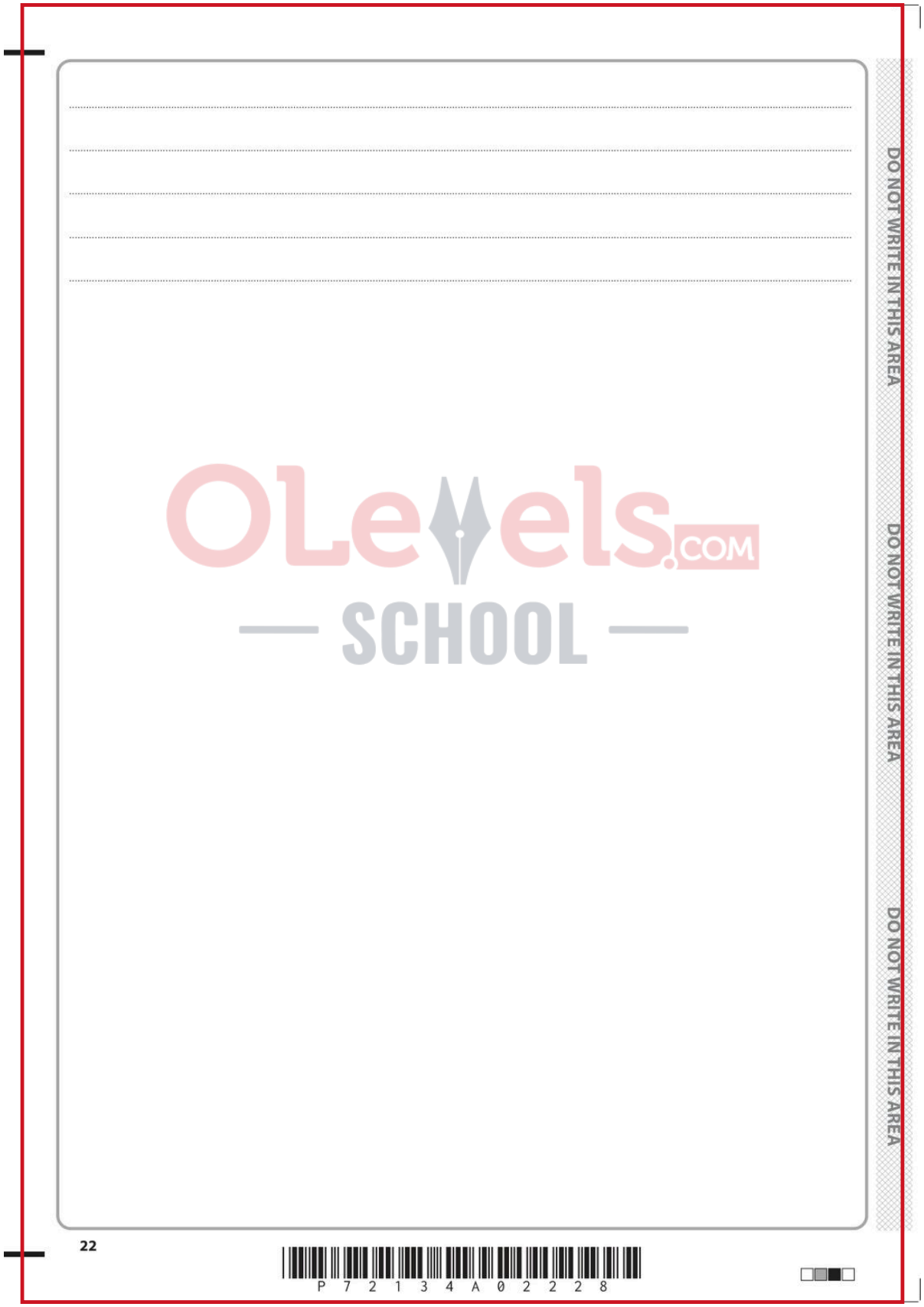
(6)

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24. Question 4 · part b · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part b only.



24. Question 4 · part b · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part b only.

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In October 2023, the UK Government introduced more regulations to tackle the problem of litter and to protect the environment from a range of single-use plastic items.

No firm in the food industry will now be able to sell single-use plastic cutlery, polystyrene cups, plastic plates and food containers in England.

Research shows people across England use 2.7 billion items of mostly plastic single-use cutlery and 721 million single-use plates every year, but only 10% of these are recycled.

Plastic pollution takes hundreds of years to break down and causes serious damage to oceans, rivers and land. It is a source of greenhouse gas emissions, from its production and manufacture to the way it is disposed of.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of using regulation to protect the environment for a country such as the UK.

(12)

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24. Question 4 · part b · 6 marks · Working and answer

Working and answer

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